

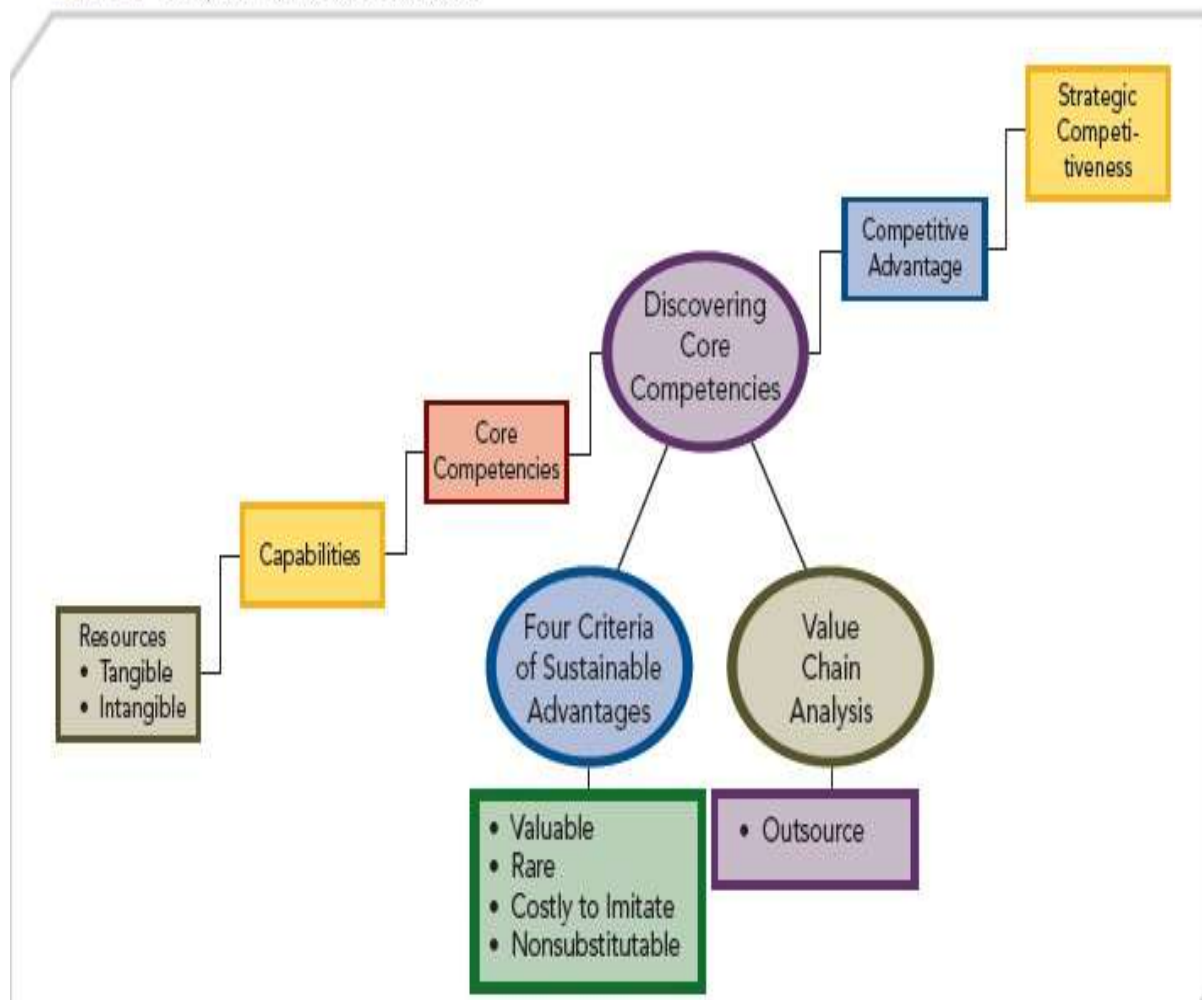
STRATEGIC ANALYSIS 2

THE INTERNAL ENVIRONMENT: RESOURCES, CAPABILITIES, & CORE COMPETENCIES

What a firm can do:

Function of resources, capabilities, and core competencies

Figure 3.1 Components of an Internal Analysis



Core Competencies

Resources and superior capabilities that are sources of competitive advantage over a firm's rivals

Tangible Resources

- FINANCIAL RESOURCES - the firm's capacity to borrow and generate internal funds
- ORGANIZATIONAL RESOURCES - formal reporting structures
- PHYSICAL RESOURCES - sophistication and location of a firm's plant and equipment; distribution facilities; product inventory
- TECHNOLOGICAL RESOURCES - stock of technology, such as patents, trademarks, copyrights, and trade secrets

Intangible Resources

- HUMAN RESOURCES - knowledge; trust; skills; collaborative abilities
- INNOVATION RESOURCES - scientific capabilities; capacity to innovate
- REPUTATIONAL RESOURCES - brand name; perceptions of product quality, durability, and reliability; positive reputation with stakeholders, e.g., suppliers/customers

Capabilities

An integrated and coordinated set of actions taken to exploit core competencies and gain competitive advantage

- Emerge over time through complex interactions among tangible and intangible resources
- From employees

Unique skills and knowledge Functional expertise

- Are activities that a firm performs exceptionally well relative to rivals

- Are activities through which the firm adds unique value to its goods or services over an extended period of time
- often developed in specific functional areas such as
 - Distribution
 - Human resources
 - Management information systems
 - Marketing
 - Management
 - Manufacturing
 - Research & Development

BUILDING CORE COMPETENCIES

The Four Criteria of Sustainable Competitive Advantage

Capabilities must fulfill four specific criteria in order to be CORE COMPETENCIES

1. Valuable
2. Rare
3. Costly-to-imitate
4. Non substitutable capabilities 5.

VALUE CHAIN ANALYSIS

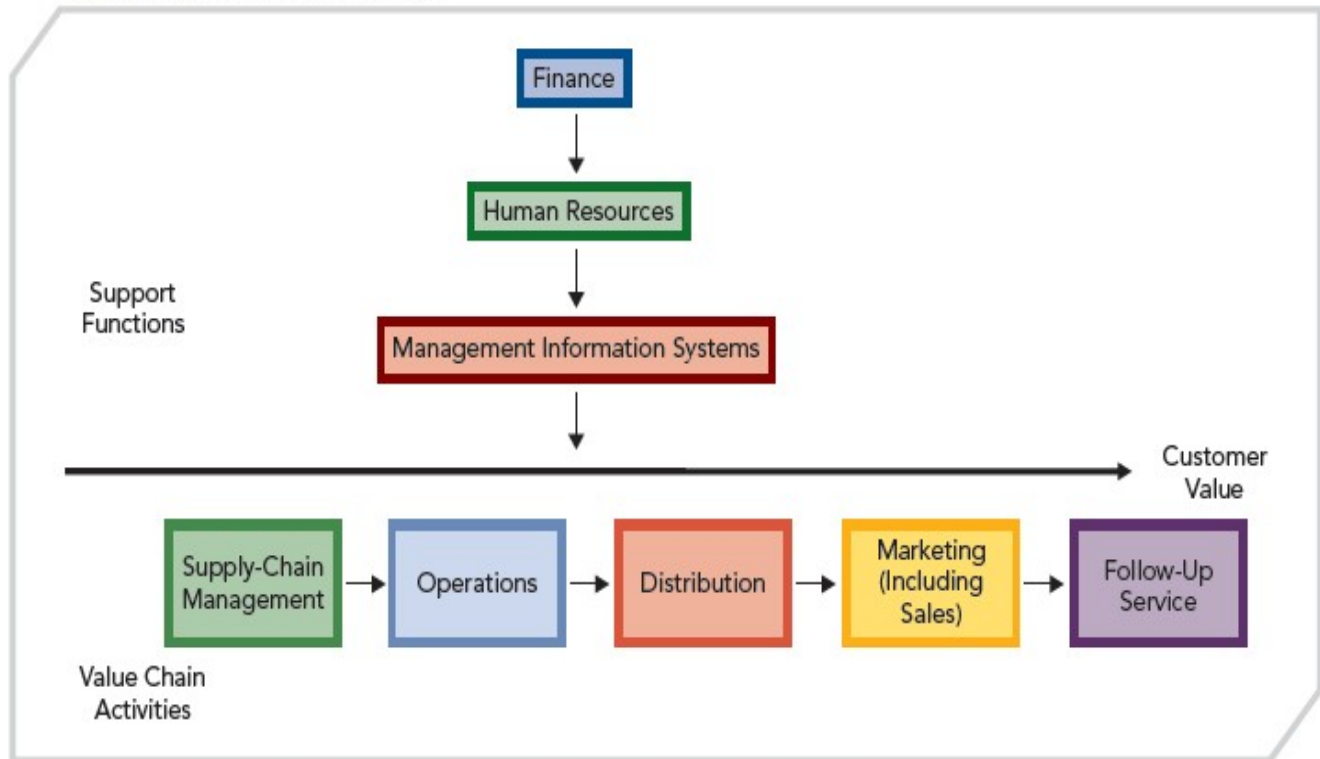
Allows the firm to understand the parts of its operations that create value and those that do not.

VALUE CHAIN ACTIVITIES: activities the firm completes in order to produce products and then sell, distribute, and service those products in ways that create value for customers

SUPPORT FUNCTIONS: activities the firm completes in order to support the work being done to produce, sell, distribute, and service the products the firm is producing

To become a core competence and a source of competitive advantage, a capability must allow

Figure 3.3 A Model of the Value Chain



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the firm:

1. to perform an activity in a manner that provides superior value relative to competitors,

or

2. to perform a value-creating activity that competitors cannot perform

OUTSOURCING

Definition: purchase of a value-creating activity or support function from an external supplier

- Effective execution includes an increase in flexibility and risk mitigation, and a reduction in capital investment

- Global industries trend continues at a rapid pace
- Firms must outsource activities where they cannot create value or are at a substantial disadvantage compared to competitors
- Few organizations are competitively superior in all value chain activities and support functions
- By outsourcing activities where it lacks competence, the firm can fully concentrate on those areas in which it can create value
- Freeing resources for other purposes
- redirects efforts from non-core activities toward those that serve customers more effectively
- Specialty suppliers can perform outsourced capabilities more efficiently.
- Sharing risks - reduces investment requirements and makes firm more flexible, dynamic, and better able to adapt to changing opportunities
- Providing access to world-class standards –
- the specialized resources of outsourcing providers makes world-class capabilities available to firms
- Outsource those value chain activities and support functions that are NOT a source of core competence
- Concerns: innovation, technological uncertainty, and job loss; usually revolves around firm's innovative ability and loss of jobs to external supplier

SWOT ANALYSIS

Swot analysis refers to a tool used for evaluating strengths, weakness, opportunities and threats. It is an essential strategic planning tool, used for formulating feasible strategies for the firm.

(a) Strengths and Weakness

A **strength** is a positive characteristic that adds advantage to the business firm such as:

- quality product and services
- skilled workforce
- cost efficiency
- high brand image
- technical innovations
- patents and trade marks
- customer loyalty
- financial resources
- strong research and development team and so on.

A **weakness** is that factor that adds disadvantage to the firm such as -poor leadership

- lack of infrastructure
- failure to change
- poor marketing network
- obsolete technology
- cost inefficiency
- poor customer service
- poor product quality and so on.

An **opportunity** is a favourable factor in the external environment, which can be used as an advantage to the firm such as

- Favourable government policy
- Expansion to new markets
- technical advancements

- strategic partnerships
- removal of trade barriers and so on

A **threat** is a factor in external environment which is not beneficial to the organization, such as

- entry of low-cost global players into domestic country
- high labour cost and labour turn-out
- availability of substitutes
- scarce resources like fuel and utilities
- recession in economy
- trade barriers by foreign countries
- heavy taxation
- shift in customer loyalty and so on.

Business firm should anticipate such possible threats and design its strategies to drive away the threats.

SWOT analysis, therefore, involves evaluating the company's internal environment in terms of strengths and weakness and the external environment in terms of opportunities and threats and formulating strategies that take advantage of all these factors.